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Basic Materials

Barrick Earnings: Very Strong, Driven by Gold Bull Market (Feb. 8)

Barrick's fourth-quarter adjusted net profit after tax more than doubled year on year to USD 1.8 billion, or USD 1.04 per share. The booming gold price more than offset rising unit cash costs. With lower sales volume, this drove 2025 adjusted net profit after tax up 87% to USD 4.1 billion, or USD 2.42 per share.

Why it matters: Full-year results exceeded our estimate, the biggest driver being higher-than-expected gold sales volume in the fourth quarter. Near-term volume guidance is moderately lower than we expected, but this is broadly offset by lower unit cash cost guidance. Barrick won't repurchase additional shares in favor of increasing its quarterly base dividend to USD 17.5 cents per share from USD 12.5 cents. A potential top-up dividend will also be payable in the fourth quarter, consistent with the company's new target to pay out 50% of annual attributable cash flow. Barrick will proceed with an IPO of its North American gold assets. NewCo will hold a 61.5% interest in Nevada Gold Mines and 60% stake in Pueblo Viejo, along with its attractive 100%-owned Fourmile deposit next to NGM. It intends to sell a 10%-15% stake in NewCo in the IPO.

The bottom line: We retain our CAD 42/USD 30 fair value estimate for no-moat Barrick as the changes to our forecasts are immaterial. Ceasing share buybacks is sensible, given that they are value-decretive, with shares trading about 50% above fair value. This is likely driven by spot gold of USD 5,000 per ounce being more than double our assumed midcycle price of USD 2,050 based on our estimate of the long-run marginal cost of production.

Coming up: All things equal, the surging gold price means we think it is better to be undertaking countercyclical sales of gold mines rather than buying them. So we are inclined to support the IPO, though we await full details before finalizing our view. It is targeted to occur by the end of 2026.

West Fraser Earnings: Tepid Homebuilding Demand, Tariffs Challenges (Feb. 12)

West Fraser reported a USD 219 million operating loss for the fourth quarter. This excludes USD 712 million of restructuring and impairment charges for closing underperforming lumber and oriented strand board mills and writing off all US lumber goodwill, as announced Jan. 8.

Why it matters: 2025 was a challenging year for the timber industry due to US tariffs and sluggish US homebuilding starts from consumer affordability woes. With the company saying housing starts are not expected to recover until 2027, we think the earnings announcement could have been worse. The company instead maintained 2026 shipment guidance given on Jan. 8, and it continued to buy back stock, with fourth-quarter spending of USD 7 million. The quarterly dividend remains intact for the first quarter of 2026 at USD 0.32 per share. The earnings call had several questions about whether acquisitions are coming. Management, in our view, wisely stated that the balance sheet has the flexibility for a deal, including adding debt, but only for high-quality assets that are not currently for sale, given market conditions.

The bottom line: We are leaving our CAD 113/USD 81 fair value estimate in place for no-moat West Fraser. However, we will reassess all modeling inputs when we roll our model forward a year for the 40-F filing. We view the shares as undervalued, but given market conditions, we think they may remain undervalued in 2026, absent major good news on US housing affordability. Still, management is controlling what it can by closing mills and opening more-efficient lumber mills, such as in Henderson, Texas. Europe is one bright spot for 2026, as the company sees industry demand in the UK and continental Europe remaining challenging but improving versus 2025. OSB's long-term prospects as a substitute for plywood remain on a growth trajectory per management.

Agnico Eagle Earnings: Net Profit Doubles in Gold Bull Market (Feb. 16)

Agnico Eagle's fourth-quarter adjusted net income of USD 1.3 billion, or earnings per share of USD 2.70, was double that of a year ago. The higher gold price more than offset increased unit costs on steady volume. The quarterly dividend rose to USD 0.45 per share from USD 0.40 in the prior quarter.

Why it matters: The result was slightly stronger than we expected, driven by lower depreciation and net interest expense. Volume guidance is in line with our estimate, though cost guidance is better than we expected. However, the very strong gold bull market means capital expenditure is higher, as project investment accelerates to increase production to more than 4 million ounces per year by the early 2030s. Incremental production from these developments is likely to start in 2030. This compares with our forecast that production through 2028 will remain largely unchanged at about 3.4 million ounces, at the midpoint of guidance.

The bottom line: We raise our fair value estimate for no-moat Agnico Eagle 13% to CAD 125/USD 90 per share on lower forecast near-term unit cash costs and higher midcycle production from accelerated growth. But the shares appear materially overvalued on a forward price/earnings of about 17 despite the inflated gold price. This seems rich, with spot gold trading near historical highs of about USD 5,000 per ounce, more than double our assumed long-term or midcycle price of about USD 2,050 per ounce. This is based on our estimate of the long-run marginal cost of production.

Long view: We now forecast volume to rise to around 4 million ounces midcycle, up from 3.4 million previously. We assume a 75% chance Agnico Eagle achieves the midpoint of its target, raising production by 20%-30%. Much of the increase comes from expansions at its existing Detour Lake and Canadian Malartic mines rather than new projects, increasing the likelihood of successful expansion. Due to operating leverage, higher production will likely see improved midcycle margins compared with historically.

Nutrien Earnings: Shares Rise on Outlook for Growing Retail Profit (Feb. 19)

Nutrien's fourth-quarter earnings reflected higher potash and nitrogen prices, which drove higher companywide profits versus the prior-year quarter. The shares were up slightly in Feb. 19 trading as the market reacted to the results and guidance for retail profit growth in 2026.

Why it matters: Nutrien does not give guidance on fertilizer profits, which generate around 70% of companywide profits, so the market tends to assume the company's recent results and fertilizer spot price movements are directional indicators of near-term profits. We forecast nitrogen and potash prices will remain stable in 2026 versus 2025 levels. Combined with retail profit growth, we forecast Nutrien will generate slightly higher adjusted EBITDA in 2026 versus 2025.

The bottom line: We raise our fair value estimate to USD 75/CAD 103 per share from USD 70/CAD 99. At current prices, we view the shares as fairly valued, trading just below our updated fair value estimate and in 3-star territory. Our increased valuation is due to our outlook for higher near-term nitrogen prices and lower unit production costs as a result of Nutrien's shutdown of its higher-cost Trinidad nitrogen operations. This is partially offset by lower nitrogen volume going forward. Management said it is just beginning the strategic review of its phosphate business. We think Nutrien may end up divesting the business as part of management's strategy to exit lower-return businesses. We think the review makes sense and aligns with our Exemplary Morningstar Capital Allocation Rating.

Perseus Earnings: Net Profit Declines on Lower Volume (Feb. 20)

Perseus' fiscal first-half net profit after tax fell 8% to USD 186 million, or AUD 0.12 per share, as lower volume and higher unit cash costs more than offset the 38% increase in its realized gold price. But the firm doubled its interim dividend to AUD 0.05 per share, unfranked.

Why it matters: The result is tracking below our full-year expectations, largely due to softer-than-expected gold sales volume in the half. But management reaffirmed guidance for production of 400,000-440,000 ounces and all-in sustaining costs of USD 1,600-USD 1,760 per ounce. Our forecast for fiscal 2026 production remains near the midpoint of guidance. We expect volume to rise in the second half as Perseus transitions toward higher grades at a couple of its mines. But volume is nevertheless likely to fall this year, by about 16% from fiscal 2025, and we still expect materially higher AISC as a result. Increased royalties due to higher gold prices and the new increased royalty rate applied in Ivory Coast contribute.

The bottom line: We maintain our Australian dollar fair value estimate for no-moat Perseus at AUD 3 per share but raise our Canadian dollar valuation to CAD 2.90 per share from CAD 2.80 due to currency movements. The shares appear materially overvalued, trading at close to double our intrinsic assessment. This is likely driven by investors assuming the gold price remains near historical highs at about USD 5,000 per ounce. This is more than double our assumed price of USD 2,050 per ounce midcycle from 2030 based on our estimate of the long-run marginal cost of production. Many investors may also assume a lower cost of capital than we do.

Coming up: The Nyanzaga project is slated to begin production in fiscal 2027, with its reserve life modestly increased to 16 years from 14. But Perseus still has a relatively short reserve life of about a decade and so is dependent on exploration or acquisitions to maintain production.

Teck Earnings: Copper Bull Market Drives Very Strong Result (Feb. 23)

Teck's fourth-quarter earnings were very strong, driven by the rising copper price, with adjusted EBITDA up 80% year over year to CAD 1.5 billion. Full-year 2025 adjusted EBITDA rose about 50% to CAD 4.3 billion. The quarterly dividend of CAD 0.125 per share is unchanged.

Why it matters: Management reiterated medium-term volume and 2026 unit cost guidance.

The bottom line: We maintain our fair value estimate for no-moat Teck at CAD 49/USD 35 per share. The shares appear materially overvalued, trading at a forward P/E of 22. This assumes a copper price of around USD 5.90 per pound in 2026, similar to spot and near historical highs. The overvaluation is due to the upcoming merger with no-moat Anglo American, whose shares are also very expensive due to the strong copper price. Teck shareholders will receive 1.3301 Anglo shares for each Teck share they hold. Anglo also plans to pay a USD 4.19 premerger special dividend. The elevated copper price is being driven by optimism about rising demand due to the energy transition, as well as short-term market dislocations. However, we assume the price falls to about USD 3.80 per pound midcycle from 2030 based on our estimate of the long-run marginal cost of production.

Coming up: The merger will form copper-focused Anglo Teck, with iron ore and zinc its other major commodities. Anglo Teck will be one of the world's largest copper miners, producing around 1 million metric tons (its share) in 2028. The deal is likely to close later this year or in early 2027.

Key stats: We expect copper volumes of 400,000 metric tons (its share) in 2026, up from 360,000 in 2025, driven by increased production at Quebrada Blanca 2 and Antamina. This is around the midpoint of guidance. We forecast steady refined zinc volume of about 230,000 metric tons in 2026. However, due to lower production at Red Dog and Antamina, we expect 430,000 metric tons of mined zinc, also near the guidance midpoint and down from 560,000 in 2025.

Kinross Earnings: Gold Price Offsets Lower Volume, Rising Costs (Feb. 24)

Kinross Gold's fourth-quarter adjusted net income of USD 810 million, or USD 0.67 per share, more than tripled on the same quarter in 2024. The stronger gold price more than offset rising unit cash costs and lower volumes. The same factors meant 2025 adjusted EPS nearly tripled to USD 1.84 on a year ago.

Why it matters: The result was better than we expected, driven by a lower effective tax rate. Volume guidance is in line with our estimates, though unit cash cost guidance is lower and capital expenditure is higher as Kinross invests in its US mines to help maintain current production volume. It announced a 14% higher quarterly dividend of USD 0.04 per share and intends to return 40% of free cash flow to shareholders in 2026, primarily through share repurchases. With a very strong balance sheet, raising the dividend is sensible and preferable to value-decretive share buybacks.

The bottom line: We raise our fair value estimate for no-moat Kinross by 6% to USD 9.50/CAD 13 per share after incorporating guidance. The shares trade significantly above our intrinsic assessment due to euphoria in the gold market. Spot gold of USD 5,200 per ounce is near historical highs, more than double

our assumed long-term or midcycle price of about USD 2,050 from 2030 based on our estimate of the marginal cost of production. We also think the market may be overlooking what we expect to be lower grades and margins midcycle from 2030. Along with its relatively short reserve life of about a decade, these factors likely account for the significant premium to fair value at which shares trade.

Bulls say: The gold price stays elevated for longer. In our bull-case scenario, we assume gold averages about USD 5,700 per ounce from 2026 to 2028 and about USD 2,450 midcycle, about 20% above our base-case assumptions. But shares still trade at more than double our bull-case fair value estimate.

Communication Services

BCE Earnings: Very Difficult Operating Environment Weighs on Results (Feb. 5)

Adjusted for the Ziply acquisition, we estimate BCE's service revenue declined 1.5% in the fourth quarter and more than 1% in 2025, while EBITDA margin on service revenue was roughly flat in both periods. We estimate revenue guidance is roughly flat in 2026, after adjusting for Ziply.

Why it matters: The telecom environment in Canada remains very difficult, largely due to Quebecor's entry as a national wireless competitor, which is weighing on prices and resulting in share losses for incumbent carriers, and reduced immigration, which has shrunk the pool of new subscribers. Average revenue per wireless customer declined by 1% in both the fourth quarter and full year, while the firm added a meager 100,000 net postpaid customers in 2025, down by half from 2024. On a positive note, BCE added 56,000 in the fourth quarter, matching its 2024 result and outpacing Rogers. In total, wireless service revenue was down slightly during the fourth quarter and the full year, compared with the comparable periods in 2024.

The bottom line: We maintain our CAD 45/USD 33 fair value estimate and consider the shares to be undervalued. We don't expect results to improve in the near term, but we also anticipate that the currently depressed environment will ultimately pass.

Key stats: Wireline fared only slightly better than wireless, with weak subscriber metrics and flat revenue. Sales were up slightly in the fourth quarter. The firm added a weak 12,000 Canadian internet customers in the fourth quarter and only 48,000 for the full year, as we believe the tailwinds BCE enjoyed from its fiber buildout have now passed, and Rogers has had more success attracting new customers since it acquired Shaw. Consistent with industry trends, BCE continues to shed television and landline phone customers, which is a big factor in reducing the revenue it generates per wireline account.

Telus Earnings: Good Results and Outlook in Challenging Environment (Feb. 12)

Canadian telecom stocks have been very out of favor amid a challenging environment prompted largely by Quebecor's entrance as a national mobile competitor. Against this backdrop, Telus had a good fourth quarter, with flat services revenue and 1 percentage point of adjusted EBITDA margin expansion.

Why it matters: Telus' results have been decent, and we don't think the current mobile environment represents a new long-term norm. Quebecor has been severely undercutting competitors on price, and Canada's immigration policy has diminished the number of new mobile phone customers entering the market. Over the longer term, we expect the mobile market to be much more attractive for the Big Three providers—like Telus—that have narrow moats. Quebecor is currently restricted by the government from raising prices, and it will eventually have to operate its own network, which is more expensive. Telus still added 50,000 mobile phone users in the fourth quarter and 207,000 in 2025, comparable with its two big peers. Mobile services revenue was roughly flat in the fourth quarter and for the full year, as average revenue per user declined 2% and 3%, respectively.

The bottom line: We maintain our CAD 30/USD 22 fair value estimate and believe the shares are undervalued. Although we expect modest growth to eventually return, we don't expect a material near-term reversal of recent stagnation.

Between the lines: Fixed-line data services revenue (23% of total sales versus 34% for mobile services) declined 1% in the fourth quarter but rose 1% over the full year. The firm added 123,000 internet customers in 2025, including 35,000 in the fourth quarter, both comparable with the prior year. We long viewed the opportunity with internet customers to be an attractive source of growth due to Telus' network overhaul with fiber. However, the company is largely finished with the buildout, so the tailwind has passed. Recent levels of subscriber additions have been good, but we don't expect them to improve.

Quebecor Earnings: Great Results as Wireless Momentum Continues (Feb. 27)

Quebecor's wireless momentum continued in the fourth quarter, as it added more net subscribers than any peer while also increasing average revenue per user. Total mobile services revenue was up 9.5% year over year, driving total services revenue growth of 5% with steady margins.

Why it matters: Quebecor's business was stagnant before it acquired Freedom Mobile and became a national wireless competitor, as it had exhausted its opportunity in Quebec, in our view. Internet sales, up 2% year over year with only 4,000 net new subscribers in the quarter, still reflect that. Expansion in the wireless industry is muted at the moment, but Quebecor is taking much more than its fair share. Still, at recent levels, it is not materially denting the share or close to reaching the size of the Big Three, each of which has over 10 million wireless subscribers. Quebecor added 74,000 total wireless subscribers in the quarter to reach 4.4 million. BCE added 53,000, Telus added 50,000, and Rogers added 39,000. Quebecor's presence is a big factor in depressing results for those incumbents, and the company is doing it profitably.

The bottom line: We raise our fair value estimate to CAD 50 per share from CAD 47 and believe Quebecor is fairly valued. We don't believe the firm has a moat. It is not yet having to compete on a level playing field with peers, but by regulatory mandate, it will by around the end of the decade.

Long view: The firm is still able to use incumbents' wireless networks rather than having to operate its own, which it is currently building across much of the county. We don't expect Quebecor's operations to remain quite as strong once its preferred status ends. Free cash flow rose to CAD 1.4 billion in 2025 from CAD 1 billion two years ago. However, capital spending is up from CAD 436 million in 2023 to nearly CAD 650 million in 2025, and we expect it will continue rising.

Consumer Cyclical

Restaurant Brands Earnings: International Strength Persists (Feb. 12)

Restaurant Brands International delivered 3.1% comparable sales and 2.9% unit growth in the fourth quarter. The international segment led the charge (6.1% and 4.9% growth, respectively), while Tim Hortons Canada posted its 19th consecutive positive quarterly comparable sales result (up 2.8%). Adjusted EPS popped 18.7% to USD 0.96.

Why it matters: RBI's growth narrative is intact, supported by well-capitalized international franchisees and a durable runway for deeper unit penetration. Tim Hortons' stepped-up menu, equipment, and digital investments appear to be resonating with consumers. Still, our 3.5% companywide comparable sales estimate lagged results, as Popeyes US struggled to gain its footing in the hotly contested chicken market (down 4.9%). We think management's renewed emphasis on the banner's core menu, operations, and franchisee profitability is prudent.

The bottom line: We don't plan a material change to our USD 78/CAD 110 fair value estimate for narrow-moat RBI. We await more details on the company's long-term strategy at its Feb. 26 investor day. We view the shares as undervalued following a mid-single-digit decline on the Feb. 12 news. We think shares tumbled on weaker-than-anticipated results at domestic Popeyes, while higher costs are expected to derail management's plans to remodel 85% of its US Burger King footprint by 2028 (currently 58% complete). Despite domestic hurdles, we believe investors are neglecting the firm's international prowess, which should support RBI's 3%-plus comparable sales growth goal over the next five years, buoyed by increased digital penetration and premium product incidence.

Coming up: Burger King China appears poised to bolster RBI's international segment prospects after the completion of its joint-venture agreement with CPE. We think the operator's local expertise and USD 350 million in committed investment should help accelerate its opportunities in the long run.

Canadian Tire Earnings: Uncertainty Despite Solid Revenue Growth (Feb. 19)

In the fourth quarter, Canadian Tire posted retail revenue growth excluding petroleum of 10.7%, driven by a comparable sales uplift of 4.2%. Retail gross margin excluding petroleum expanded 118 basis points from the prior year to 35.4%, ahead of the company's target of 35%.

Why it matters: Despite continued top-line growth with success across the company's retail banners and back-to-back quarters of margin expansion, we remain skeptical about the durability of this elevated profitability. Our prerelease 2026 revenue growth forecast of 2.5% reflects headwinds from continued consumer uncertainty and unfavorable comps, as 2025 benefited from favorable weather, Canadian patriotic purchasing, and a 53rd week. Although restructuring is expected to provide CAD 100 million in savings in 2026, we expect this to be offset by continued investments in artificial intelligence and IT related to the True North growth strategy initiatives and the refilling of vacant roles.

The bottom line: We do not expect a material change to our CAD 172 fair value estimate for no-moat Canadian Tire. We view the shares as overvalued, trading at a 7% premium to our intrinsic value. In our view, the current market price reflects persistently elevated retail margins following 2025's 35.5% result, which was above target. Despite progress from True North, we believe the market is underappreciating pressures from geopolitical and consumer uncertainties. We forecast long-term revenue growth of around 2%. We believe that the firm has little room to expand the physical presence of its banners and that the financial-services segment will grow relatively in line with its retail segments.

Gildan Earnings: Hanesbrands Integration Underway (Feb. 26)

Gildan's fourth-quarter sales rose 31% as the company recognized revenue from Hanesbrands for the first time (the deal closed Dec. 1). Adjusted operating margin fell 60 basis points to 20.7% on Hanesbrands' structurally lower margins. Adjusted EPS from continuing operations increased by USD 0.13, to USD 0.96.

Why it matters: The Hanesbrands addition is transformative as it greatly increases Gildan's presence in branded basics and brings manufacturing efficiencies. Gildan has begun the integration process and raised its annual cost benefit estimate to USD 250 million from USD 200 million. It announced it will close two acquired textile factories, sell the Australia operations, and expand its complex in Bangladesh (starting in late 2027). With Gildan's production cost advantage, we think such moves will allow for further market share gains in printwear and branded basics. Excluding Hanesbrands, Gildan's 4.9% quarterly sales growth was short of our 8.1% estimate on weakness in innerwear. We do not regard this shortfall as meaningful, since Gildan's innerwear is greatly enhanced by the addition of Hanesbrands' stronger brands.

The bottom line: The shares of narrow-moat Gildan are undervalued relative to our USD 93/CAD 128 fair value estimate, which we do not expect to change materially. We believe investors are focused on Hanesbrands' historical problems rather than its potential for higher growth and margins. Gildan guided for 2026 revenue of USD 6.0 billion-USD 6.2 billion and USD 4.20-USD 4.40 in adjusted EPS. Although there will be some inventory reductions in channels during the factory integration phase, this outlook is generally in line with our forecast (adjusted for Australia). More significantly, the company reiterated its 2026-28 expectations for pro forma 3%-5% annual sales growth and adjusted EPS growth in the low 20s. We believe these are reasonable targets and justify the cost and strategic rationale of the Hanesbrands deal.

Restaurant Brands: International Growth Should Buoy Prospects (Feb. 26)

Restaurant Brands International held an investor day to provide a clearer view of the business after years of stepped-up brand investment. RBI reaffirmed its 8% adjusted operating income goal, outlined a plan to restore its 5% annual net unit growth target by 2028, and committed to boosting capital returns.

Why it matters: At times, we think investors lost sight of RBI's impressive Tim Hortons turnaround (42% of operating income in 2025) and the high-margin international segment's strength (27%), after successive 5% net unit growth misses and outsize investment to revive its Burger King US brand.

Ultimately, we're pleased with management's work to bolster franchisees' unit-level profits through persistent menu innovation, advertising, operational field support, remodels, and tech enhancements, such as Burger King's recently announced artificial intelligence headsets. We believe international growth remains attractive, backed by well-capitalized franchisees investing behind RBI's brands. Still, we forecast 4.7% firmwide unit growth in 2028, slowing to 3.5% in the back half of our forecast, which falls below management's view as competition heats up.

The bottom line: We don't plan a material change to our USD 78/CAD 110 fair value estimate for narrow-moat RBI. After a 3% pop in price on Feb. 26, the shares trade near the range we consider fairly valued. In 2028, RBI plans to ease into its less capital-intensive roots, aiming for a 99% franchised model (from 93% today), which broadly aligns with our expectations for Burger King's refranchising. This enables a return to share repurchases in 2026 and a 60% long-term dividend payout ratio. We reaffirm our Standard Morningstar Capital Allocation Rating, as the firm prudently plans to avoid acquisitions and to focus on shareholder distributions and deleveraging. That said, we advise management to keep supporting its brands and franchisees to ensure they stay ahead of the curve.

Consumer Defensive

Saputo Earnings: Revenue Declines but Margin Rises (Feb. 6)

Saputo's fiscal third-quarter revenue declined 2.1%, driven by lower US dairy commodity prices but partially offset by higher sales volume across all sectors and higher selling prices in Canada and international markets outside the US. Adjusted operating margin rose 180 basis points to 6.9%.

Why it matters: Saputo's commoditized products heighten its vulnerability to commodity swings and sales pressure. This was evident in the 7.1% quarterly revenue decline in the US segment. We expect this could lead to volatility in profitability over the long term. Saputo's automation and plant consolidation are boosting efficiencies and margins. While these steps are prudent, we expect operating margin to generally hold rather than expand over our forecast. To appeal to consumers' penchant for protein-rich foods, Saputo is launching new products (for example, the Armstrong protein line) and upgrading its whey production, boosting output by roughly 35%. However, in such crowded markets, we see this as a means to stay competitive rather than to drive growth.

The bottom line: We do not plan any material change to our CAD 26.50 fair value estimate for no-moat Saputo. The shares rose about 2% on earnings and trade at a roughly 60% premium to our intrinsic valuation. We view the stock as unattractive at current levels. We think the market overlooks the risk of share loss for Saputo's undifferentiated products, as cost-conscious consumers shop the dairy aisle on price. With US private-label penetration at 34%, we see limited upside and project low-single-digit sales growth through 2035.

Big picture: Management said it plans to continue returning capital to shareholders via share repurchases and dividends while also reinvesting in the business to support growth. We forecast repurchases averaging 3% of shares outstanding each year over our forecast, though we view these as imprudent when executed at a significant premium to our valuation.

Saputo: Argentina Divestiture Fails to Move the Needle (Feb. 12)

On Feb. 12, Saputo announced an agreement to sell an 80% stake in its dairy division (Argentina) to Gloria Foods (of Grupo Gloria). It will retain 20% ownership and expects to collect about CAD 543 million upon the deal's anticipated fiscal 2027 first-quarter close. The shares were up 3% on the news.

Why it matters: We view Saputo's Argentina exit as a move toward a more focused international strategy, reflecting its intent to reduce exposure to markets with greater geopolitical uncertainty. The deal involves two Argentine plants and local brands like La Paulina. Shedding these assets boosts Saputo's flexibility to pursue higher-growth opportunities. We expect spending to shift toward innovation, marketing, and capital expenditure over the next decade. Saputo has long faced hyperinflation and currency-driven volatility in Argentina, pressuring growth and margins in its international segment. Divesting most of this unit could help reduce macro risk and modestly stabilize segment profitability.

The bottom line: We expect no material change to our CAD 27 fair value estimate for no-moat Saputo. With Argentina representing only 7% of consolidated sales, we doubt this divestiture will meaningfully affect Saputo's overall growth or profitability. Shares trade 30% above our valuation. We think Saputo's commoditized fare faces intense competition and lacks bargaining power with suppliers. With limited pricing power and volatile input costs, the firm has failed to gain an edge, but we don't think the market appreciates this. We maintain our Standard Morningstar Capital Allocation Rating. Saputo aims to pursue organic growth while returning cash to shareholders via buybacks. However, repurchasing shares above our intrinsic value estimate is not, in our view, a prudent use of capital.

Loblaw Earnings: Value Focus Drives Modest EPS Growth (Feb. 25)

Loblaw's fourth-quarter revenue rose 11.3%, with food retail up 3.1% and drugstore up 4.4%. Adjusted EBITDA margin held at 10.8%. Full-year adjusted EPS grew 13.6% (including the 53rd week), in line with low-double-digit guidance. Management expects high-single-digit EPS growth in fiscal 2026.

Why it matters: Against a weak economic backdrop, we think Loblaw's value focus—via hard discounting, private-label offerings, and targeted promotions through loyalty programs—will persist. Such efforts have supported strong comparable sales growth in grocery (1.5%) and pharmacy (3.9%). Loblaw grew basket size and traffic in food retail in the quarter, as its value-oriented approach resonated. Its internal food inflation metric was well below Canada's 4.4% grocery consumer price index. It also posted e-commerce gains, with digital penetration doubling at its hard discount banners. Customers continue to value the convenience of Loblaw's pharmacies, aided by solid specialty prescription and primary care offerings. As obesity drug access expands via easing prices, we expect rising GLP-1 demand to enable 4.4% average growth in this segment over the next decade.

The bottom line: We plan no material changes to our CAD 39 fair value estimate for no-moat Loblaw. Although the shares fell nearly 6% after earnings, they still trade at a premium to our intrinsic valuation. We think investors are better off leaving this name on the shelf. We think the market overlooks the persistent margin pressure Loblaw faces in a highly competitive grocery landscape. With limited pricing power, we expect operating margin to remain below 6% throughout our forecast, down from a 6.2% average over the past five years. Management plans CAD 2.4 billion in capital expenditure in 2026, including 70 new stores across its hard discount and pharmacy banners, lifting its footprint above 2,500 locations. As openings have been growth-accretive, we expect them to aid 3% average sales growth over the next decade.

Energy

Arc Resources: Initiating Coverage With Narrow Moat Rating (Feb. 2)

We are launching coverage of Arc Resources, Canada's largest condensate producer and a top-five natural gas producer. Arc's condensate production benefits from local demand from heavy oil producers, while its natural gas volumes are able to reach higher-value markets.

Why it matters: Arc aims to grow production midsingle digits over the next couple of years, driven by rising condensate volumes from Attachie. Canadian heavy oil producers will continue needing condensate, even if their growth slows. Condensate is used as a diluent to upgrade oil to pipeline quality. Exposure to US and international natural gas prices allows Arc to realize the value of its low-breakeven acreage.

The bottom line: Our fair value estimate is CAD 27 per share, and we see the shares as currently fairly valued, trading in 3-star territory. We assign a Standard Morningstar Capital Allocation Rating, as we think the balance sheet is in good shape with fair investments but mixed shareholder returns. Management's priority is growing the base dividend and retiring shares, which could lead to value-destructive repurchases. Our cost advantage-based Narrow Morningstar Economic Moat Rating is underpinned first by condensate production and second by the ability to market gas out of the basin. This ensures that volatile AECO natural gas pricing does not weigh down corporate performance.

Coming up: The shares have traded flat over the last year, weighed on by a succession of poor commodity prices, weak well performance at Attachie, and finally Venezuela. There is reason to hope for a reversal. Natural gas prices in the US, to which Arc is mostly unhedged and exposed, have seen a breakneck rally. Storage inventories in Europe and the US suggest an aggressive refilling season. Oil has had modest gains as geopolitical risk returns to the fore. Attachie should be a focus of investors. Third-quarter well performance was lackluster but blamed on an isolated issue. If subsequent wells disappoint, the organic growth story may need a serious revision.

Arc Resources Earnings: Management Withdraws Attachie Guidance (Feb. 6)

After a disappointing performance, management has withdrawn guidance for Attachie growth and capital spending. The production gap resulting from poor performance during phase one will be filled by drilling elsewhere, likely at Kakwa.

Why it matters: Without Attachie, organic growth is unlikely. Kakwa is the most significant liquids-rich acreage and was already running slightly above management's estimates for a 10-year production run rate at the end of 2025. While the company doesn't break reserves out by play, Rystad estimates Attachie's natural gas liquids and condensate are 15% and 33% of Arc's proved plus probable and technically recoverable, respectively. Management cites casing deformation, which can be disastrous to the investment. It causes incomplete fracturing and permanently impairs lifetime production. Taking a cautious approach rather than pushing ahead is the sensible path.

The bottom line: After incorporating fourth-quarter results and new guidance, we are lowering our fair value estimate to CAD 25 per share from CAD 27. We highlighted the issues with Attachie's performance in our previous note but were cautiously optimistic. Reevaluating the designs was not what the market wanted but better than throwing good money after bad. It appears that the development plan changed with Attachie's most recent vintage. Investors are unlikely to receive detailed guidance on drilling plans until the first-quarter release. Our Narrow Moat, Standard Capital Allocation, and High Uncertainty ratings are unchanged. The shares appear slightly undervalued, trading on the edge of 4-star territory.

TC Energy Earnings: Project Pull-Forward Makes Room for Backlog (Feb. 13)

TC Energy reported fourth-quarter results that beat PitchBook consensus, with EBITDA of CAD 2.96 billion versus consensus of CAD 2.9 billion. Record gas throughput along with new projects entering service propelled the performance.

Why it matters: Natural gas demand in US markets is growing at a rapid clip. This winter has created acute challenges and spiking prices that have caused increased demand. In addition, new projects being placed in service will be reliable contributors going forward. Project execution was management's highlight, as projects are ahead of schedule and under budget. This has resulted in a pull-forward of maintenance projects from 2027 into 2026 and NKY Gate from 2028 into 2027. This creates space in the capital budget for more investment or allows for deleveraging in 2027 and 2028. Getting projects into service sooner eases debt/EBITDA ratios, which have been stretched by the brisk pace of development.

The bottom line: We are increasing our fair value estimate to CAD 68/USD 50 per share from CAD 63/USD 45 after incorporating full-year results. Our US dollar fair value estimate uses a CAD 1.36/USD 1 conversion rate. The shares have increased 11% year to date and are still in 2-star territory after our fair value estimate increase. Natural gas transmission has attracted investor interest and capital as a winner of the artificial intelligence trade and growth in liquefied natural gas capacity. Our Narrow Moat, Medium Uncertainty, and Standard Capital Allocation ratings are unchanged.

Enbridge Earnings: Strong 2025 Finish Sets Up 2026 for Success (Feb. 17)

Enbridge reported fourth-quarter EBITDA of CAD 5.2 billion versus PitchBook consensus of CAD 5.1 billion. Mainline Optimization One achieved final investment decision, and we expect MLO2 will make it over the finish line. Upsized and new investments were announced across the portfolio.

Why it matters: The Venezuelan question surprised markets and caused a sharp selloff in shares before recovering all losses and then some. We do not view Venezuelan barrels as a derailing threat for the Mainline, but it may pressure upstream producers. Light crude will be the focus of MLO2, which would not compete directly with Venezuelan heavy crude and is more likely an export product.

The bottom line: We are increasing our fair value estimate to CAD 66/USD 49 per share from CAD 62/USD 44 after updating our model and incorporating the most recent results. We view the shares as fairly valued, on the edge of 3-star territory. Our US dollar fair value uses a CAD 1.36/USD 1 conversion ratio. Our Narrow Moat, Standard Capital Allocation, and Medium Uncertainty ratings are unchanged.

Big picture: The North American energy landscape has shifted substantially, but Enbridge remains a winner across its portfolio. Worries about US shale maturity are a benefit as Canadian resources remain robust. Rising natural gas demand benefits the transmission and storage activities. Finally, while we generally don't look favorably on renewables investments, the current backlog is backed by investment-grade counterparties and power purchase agreements providing greater certainty for returns. These are also supporting data centers, another major theme for the sector.

Pembina Earnings: New Projects, Dow Revival Confront Low Spreads (Feb. 27)

Pembina Pipeline reported full-year adjusted EBITDA of CAD 4.3 billion, at the midpoint of revised guidance. 2026 guidance suggests flat year-over-year growth as marketing contributions and the Alliance toll rates take effect. Dow has resumed development of its plant, targeting a 2029-30 in-service date.

Why it matters: Pembina has a few levers for growth as the Canadian market is buoyed by new egress options over the next few years. Drillers for oil to feed expanded pipelines will need condensates that are extracted from natural gas streams. Enbridge is moving forward with one Mainline expansion and considering two more. This will create additional condensate demand. It will also drive higher natural gas liquids and gas production, creating wider spreads and fee opportunities. Pembina should be able to capture it in several ways. It can transport and process in its traditional infrastructure, or it can access export markets through Alliance and Cedar LNG, potentially expanding both. Finally, it can reap the rewards of serving in the basin demand growth via Dow or Greenlight.

The bottom line: We are increasing our fair value estimate to CAD 56/USD 41 per share from CAD 53/USD 39 after incorporating recent results and revising our growth outlook. Our revised fair value estimate sees shares trading in 3-star territory. Dow is firming up its expansion and the commercialization of new pipelines and producer agreements, which boosted our valuation. Cedar LNG secured additional remarketed volume, leaving some remaining capacity uncommitted. Our no-moat, Medium Uncertainty, and Standard Capital Allocation ratings are unchanged.

Financial Services

Brookfield Earnings: Solid Quarter From Alternative-Asset Manager (Feb. 4)

Brookfield Asset Management ended December with USD 603 billion in fee-earning assets, up 3.8% sequentially and 11.9% year over year. Total fee revenue increased 24.3% year over year to USD 255 million in the quarter, while fee-related earnings increased 28.1% to USD 867 million.

Why it matters: Brookfield continues to generate positive flows, with its mix of alternative products—through its real estate/real assets, private equity, and private credit segments—benefiting from ongoing demand for nontraditional products. It picked up USD 34.7 billion from fundraising efforts in the fourth quarter, above its quarterly run rate of USD 30.1 billion in the previous eight calendar quarters. Brookfield also deployed USD 12.9 billion during the period, above its quarterly run rate of USD 12.5 billion over the past two years. Reported realizations of USD 12.7 billion were a step down from USD 15.2 billion during the third quarter but left the firm with USD 50.1 billion in monetizations for the full year. Going forward, we expect more-conducive capital markets will lead to above-average levels of realizations, further supporting ongoing fundraising and deployment efforts.

The bottom line: With USD 1.181 trillion in total assets under management, Brookfield remains the second-largest alternative-asset manager in the world behind Blackstone at USD 1.275 trillion. Effective fundraising, deployment, and realization activity have allowed the firm to continue to grow organically, despite the more volatile markets of the past five years. As there was little in narrow-moat Brookfield's fourth-quarter results that would alter our long-term view of the firm, we expect to leave our USD 55/CAD 78 fair value estimate in place. The shares are modestly undervalued right now relative to our fair value estimate. We continue to recommend that investors look for a 15% discount to our fair value estimate before considering the shares.

Great-West Earnings: Strong Finish and 10% Dividend Increase (Feb. 11)

Great-West Lifeco reported a strong set of numbers for the fourth quarter. Base earnings came in at CAD 1.36 per share, up 13% from the previous year. Full-year adjusted return on equity was 18.2%, below management's target of 19%-plus.

Why it matters: Great-West delivered double-digit adjusted earnings growth in the US, Canada, and its capital and risk solutions business segments. While earnings decreased by 2% year over year in the fourth quarter in the Europe segment, full-year earnings growth of 8% was impressive. The US Empower retirement business had USD 16.9 billion in net outflows during the fourth quarter, with positive market impact more than offsetting these outflow headwinds. Total US retirement client assets increased just 1.1% sequentially to USD 1.89 trillion. On a more positive note, the US wealth business reported net asset inflows of USD 3.4 billion in the fourth quarter, as it captured strong growth in rollover assets.

The bottom line: As we incorporate these earnings results, we expect to increase our CAD 47 fair value estimate for no-moat Great West by the high single digits. We continue to view the shares as richly valued even after our contemplated valuation increase. We see the Canadian and European markets as

mature, and we expect mid-single-digit earnings growth for Great-West on a normalized basis. We also view the firm's capital and risk solutions segment as a mid-single-digit earnings growth business in the long run, which is aligned with management's target of mid-single-digit-plus earnings growth.

Key stats: Great-West returned 128% of its adjusted earnings to shareholders via dividends and share buybacks during the fourth quarter. It increased its dividend by 10% to CAD 0.67 per common share. The firm's 2026 share-buyback capacity of 20 million shares represented around 7.6% of its public float as of the end of the December.

Manulife Earnings: Continued Strong Growth in Asia Segment (Feb. 11)

Manulife reported adequate results for the fourth quarter as adjusted earnings per share came in at CAD 1.12, up 9% from a year ago. Full-year results translated into an adjusted return on equity of 16.5%, below its medium-term level of 18%-plus.

Why it matters: The Asia segment continued to be a strong growth driver for the company, with adjusted earnings rising 24% from a year ago. The US segment, however, faced headwinds from lower investment spreads and unfavorable insurance experience. The global wealth and asset management business, which accounts for around a fourth of the firm's adjusted earnings, reported core earnings up 7% year over year. Net outflows were elevated at CAD 9.5 billion during the quarter, though, mostly driven by large case redemption. Canadian segment adjusted earnings were up 6% from the prior-year quarter, mostly in line with our expectations.

The bottom line: As we incorporate fourth-quarter results, we expect to increase our CAD 41.10/USD 29.20 fair value estimate for no-moat Manulife by the midsingle digits. We expect the shares to remain overvalued after our contemplated valuation update. Although the firm's Asian segment has seen double-digit adjusted earnings growth in the past several quarters, our normalized long-term earnings growth expectation for Asia is in the high single digits.

Between the lines: Manulife's 2025 remittances were CAD 6.4 billion, and we think the company is on track to meet or exceed its target of CAD 22 billion from 2024 to 2027. For 2025, the firm returned around CAD 5.4 billion to shareholders via dividends and share buybacks, equivalent to around 72% of core earnings. Along with its fourth-quarter earnings release, Manulife announced a 10% increase in its per-share dividend. We expect strong cash flow generation to continue to support dividends and share buybacks in 2026, with a total payout ratio for the firm of 65%-75% of adjusted earnings.

Sun Life Earnings: Strong Canada and Asia Segment Earnings Growth (Feb. 11)

Sun Life Financial reported solid fourth-quarter numbers. Underlying earnings per share came in at CAD 1.96, up 17% from the year-ago period. Full-year underlying return on equity was 18.2%, below management's 20% target.

Why it matters: Sun Life's Canada and Asia segments continued to be strong growth drivers, with year-over-year earnings growth of 14% and 18%, respectively. While profitability for the US segment

improved in the fourth quarter, full-year 2025 adjusted earnings were essentially flat with 2024. The firm previously noted it did not expect to achieve its target of USD 100 million in US dental underlying earnings, with full-year US dental earnings coming in at USD 35 million in 2025, compared with USD 23 million in 2024 and USD 90 million in 2023. Profitability for the US group benefits business benefited from an improvement in medical stop-loss experience in the fourth quarter, compared with the year-ago period, partially offset by higher distribution expenses and dental claims volume.

The bottom line: As we incorporate these results, we expect to increase our CAD 75/USD 53 fair value estimate for no-moat Sun Life by midsingle digits. We would still assess the shares as overvalued, though, after updating our fair value estimate. While we are impressed by the double-digit earnings growth in the company's Asia and Canada segments, our longer-term expectations for these two businesses are in the high single and midsingle digits, respectively.

Key stats: The asset management business, which represents around a third of Sun Life's adjusted earnings, expanded its earnings by around 3% from a year ago. MFS' total assets under management increased 8% year over year to CAD 651 billion, while SLC's total fee-earnings AUM increased 4% year over year to CAD 200 billion.

IGM Financial Earnings: Markets Boost Assets and Fees (Feb. 13)

IGM Financial finished 2025 with CAD 290 billion in consolidated assets under management, up 15%. Due to fee compression, wealth and asset management fee revenue was up 12%, and adjusted operating income rose 18%. The shares rose 5% in intraday trading.

Why it matters: IGM's results were strong, but this was mostly as expected, as market appreciation and flows continue to be healthy and can be somewhat correlated. Trailing 12-month net flows in the wealth management unit were 1.5% by our calculations, up from 1.4% in the third quarter. We view this as slightly elevated and expect it to remain at 0%-1% over our forecast period. Asset management (Mackenzie) net flows were also strong and consistent with industry trends, but we expect this to revert to net outflows amid strong competition from the large Canadian banks and passive funds.

The bottom line: As we digest these results, we expect to increase our CAD 60 fair value estimate for no-moat IGM Financial by about 8%-12% to account for the time value of money and market appreciation since our last update. We see the shares as roughly fairly valued.

Between the lines: AI disruption fears have recently affected many sectors, including wealth management. On Feb. 10, Altruist launched an AI-enabled tax-planning tool, and a negative reaction in wealth management stocks followed. IGM management's view is that AI tools can enhance the value proposition. One example would be using AI to better prepare advisors with relevant, personalized information before client meetings. Overall, we view AI as a tool rather than a strategy or business model. Sticky fee rates suggest clients continue to value advisor relationships. We also note that many clients use wealth managers not for the lowest fees but for intangible factors such as peace of mind.

Fairfax Financial Earnings: A Strong Year Finishes on a Solid Note (Feb. 20)

Fairfax Financial capped off a very strong year with good results in the fourth quarter, as it continues to ride tailwinds on both sides of its business.

Why it matters: For the full year, book value per share (adjusted for dividends) increased 21%. We think this metric highlights how favorable industry conditions are at the moment. The combined ratio for the quarter was 88.6%, improved a bit from 89.5% last year. This is a strong level, in our view, but we believe underwriting margins for Fairfax and its peers have likely peaked. Net written premiums were basically flat year over year in the quarter, continuing the downward slide in growth the company has seen this past year. We think weaker property line pricing is increasingly weighing on results, and a lack of growth may be a sign of discipline as pricing gets more competitive.

The bottom line: We will maintain our CAD 1,730 fair value estimate for the no-moat company and see the shares as materially overvalued. On the investment side, Fairfax had another strong quarter, reporting USD 946 million in gains on its equity positions, pushing full-year gains to USD 3.1 billion. While recent investment results have been very favorable, we would note that the company's long-term record is somewhat hit-and-miss. While we appreciate the current industry tailwinds, we think the market is extrapolating this favorable period too far into the future, resulting in industry valuations that are stretched from a long-term perspective. We believe weaker pricing will be the primary catalyst for a move back to more-normalized returns and see signs of this starting to occur in certain lines.

Scotiabank Earnings: Strength in Markets, Wealth Management (Feb. 24)

Bank of Nova Scotia reported strong fiscal first-quarter results, with adjusted net income growing 15% year over year, excluding divested businesses. The results translated into an adjusted return on equity of 13.1%, up 110 basis points year over year and below the medium-term target of 14%-plus.

Why it matters: Global wealth management segment earnings grew 18% and global banking and markets grew 5% year over year. Canadian earnings increased 5% from the prior-year quarter, with a 7% increase in provisioning and a 5% increase in pretax preprovision earnings. Scotiabank's guidance for its global banking and markets segment earnings is around CAD 475 million-CAD 500 million per quarter. We note that it has outperformed its guidance range in two consecutive quarters. We generally caution investors not to overextrapolate markets segment results. The international banking segment also did relatively well, with adjusted earnings up 8% excluding divestitures on a constant-currency basis. The segment-adjusted ROE improved to 16.2%, up 140 basis points from the prior quarter and in line with the bank's medium-term target of 16%.

The bottom line: As we incorporate first-quarter results, we don't anticipate making a material change to our CAD 92/USD 67 fair value estimate for narrow-moat-rated Scotiabank. We continue to view the shares as overvalued. Management said most of the bank's ROE improvement would come from its Canadian banking business, with 55-65 basis points of contribution to its 14%-plus total bank ROE target. The remainder will come from around 10-30 basis points from other segments and 15-20 basis

points from share buybacks. Our current normalized ROE forecast for the bank is 13.6%, 40 basis points below its 14% target.

Bank of Montreal Earnings: US Balance Sheet Optimization in Sight (Feb. 25)

Bank of Montreal reported OK fiscal first-quarter results, with adjusted EPS of CAD 3.48, up 14% from a year ago. This quarter's results translate into an adjusted return on equity of 12.4%, improving 110 basis points year over year, but that's still below the 15% medium-term target.

Why it matters: Adjusted earnings growth was particularly strong in the wealth management and capital markets segments, up a respective 16% and 11% compared with the prior-year quarter. Canadian banking segment adjusted earnings went up 8% year over year. The bank indicated that its US balance sheet optimization efforts should finish in the next quarter. US average loan balances declined 3.5% year over year, and average deposits fell 5.1% over the same period. US segment adjusted earnings went up 18% amid optimization efforts.

The bottom line: As we incorporate these results, we expect to increase our CAD 171/USD 125 fair value estimate by low single digits for narrow-moat Bank of Montreal. We assess the shares as overvalued even after the contemplated valuation increase. We are impressed by continued strong performance in the capital markets business, but we still think this segment's results can be volatile, and management also guided not to overextrapolate this quarter's results to the full year.

Coming up: The bank will introduce its refreshed targets at its March 26 investor day. We will pay close attention to its US segment improvement strategy and guidance. The US segment adjusted efficiency ratio was 57.1% in the quarter; the bank currently targets around a low 50s efficiency ratio for this segment, which we view as a very aspirational target and would put it as one of the best US regional banks under our coverage. US banking segment adjusted ROE was 8.5% in the quarter, up 130 basis points year over year, but still materially below the bank's current 12% medium-term target.

National Bank of Canada Earnings: Impressive Growth Across Board (Feb. 25)

National Bank of Canada reported strong fiscal first-quarter earnings across its business segments. Adjusted net income increased 26% from a year ago to CAD 1.32 billion, or up 16% excluding the results from the Canadian Western Bank acquisition that closed in February 2025.

Why it matters: National Bank of Canada's organic earnings growth, excluding the Canadian Western Bank results, was particularly strong compared with its larger peers that have reported results this earnings cycle. We are particularly impressed by its 9% year-over-year increase in average loan balances excluding CWB, amid a tepid loan growth environment in Canada, with larger peers posting flat to low-single-digit average loan growth. The bank also delivered strong results in its underwriting and trading fee income, with year-over-year growth of 62.5% and 5%, respectively. The strong trading performance was on top of a very elevated base in the year-ago quarter.

The bottom line: As we incorporate the bank's latest results and updated outlook, we are increasing our fair value estimate to CAD 153 per share from CAD 132 for narrow-moat National Bank of Canada. The shares were up around 6.5% following the earnings release, and we continue to view them as overvalued. The majority of the increase in our valuation comes from higher growth in net interest income and trading income. We now forecast the combined revenue from trading and net interest income to increase at a 5.1% five-year compound annual growth rate during 2026-30, compared with our prior projection of a 3.0% CAGR during that period. We've also increased our expense growth forecast for the bank amid a strong capital markets projection. Our five-year expense growth CAGR is now 4.0%, up 40 basis points from our previous 3.6% expense CAGR.

Key stats: Our normalized efficiency ratio forecast for National Bank of Canada is now 51.5%, improving 270 basis points from our previous assumption.

CIBC Earnings: Broad-Based Growth (Feb. 26)

Canadian Imperial Bank of Commerce reported strong earnings across its business segments in the fiscal first quarter. Adjusted net income increased 23% from a year ago to CAD 2.7 billion. This quarter's results translated into an adjusted return on equity of 17.4%, well above the 15.0%-plus medium-term target.

Why it matters: CIBC's earnings growth continued to outpace larger Canadian bank peers'. Performance was particularly strong in the capital markets business, with 42% year-over-year growth in segment earnings. All-bank trading fee income went up 19% from a particularly strong base in the year-ago quarter. Underwriting and advisory fee income also posted a strong year-over-year growth of 64%. As the capital markets and wealth management businesses benefited from strong revenue growth, CIBC delivered 10 consecutive quarters of positive operating leverage and improved its adjusted operating efficiency ratio by 260 basis points to 51.4% from the first quarter of 2024.

The bottom line: As we incorporate these results, we have increased our fair value estimate to CAD 117/USD 85 per share from CAD 100/USD 73 for narrow-moat CIBC. We continue to view the shares as overvalued. Around CAD 1 of the increase comes from time value, CAD 3 from a higher net interest margin over the next five years, and CAD 13 from higher trading income growth forecast. We now expect CIBC's trading income to grow at a five-year CAGR of 3.4% from 2025 to 2030, compared with negative 3.2% in our previous forecast. For reference, CIBC's trading fee income grew at a five-year CAGR of 42% from less than CAD 700 million in 2020 to CAD 4.0 billion in 2025.

Key stats: Our normalized efficiency ratio forecast for CIBC is now at 53.7%, improving by 240 basis points compared with our previous assumption. Correspondingly, our normalized ROE improved to 15.2% from 13.4% and is now in line with management's medium-term target of 15%-plus.

Royal Bank of Canada Earnings: Strong Trading Income (Feb. 26)

Royal Bank of Canada reported strong fiscal first-quarter results. Adjusted earnings per share of CAD 4.08 grew 13% from the prior-year quarter. This quarter's results translate into an adjusted return on equity of 17.8%, above the bank's medium-term target of 17.0%-plus.

Why it matters: While its peers posted lackluster loan growth, Royal Bank of Canada's 5% average loan growth during the first quarter was impressive. The bank, however, cautioned that negotiation uncertainty persists in the United States–Mexico–Canada Agreement, and management indicated that 2026 commercial loan growth would be closer to the lower end of its guidance range of midsingle digits to high single digits. Trading income continued to outperform our expectations, with impressive quarter-over-quarter growth of 95%. That said, management noted that the first quarter is a seasonally strong quarter for the capital markets. Net interest income excluding trading went up 7% year over year. The bank also maintained its mid-single-digit growth guidance for 2026, which is mostly in line with our expectations.

The bottom line: As we incorporate these results, we don't anticipate making a material change to our CAD 196/USD 143 fair value estimate for wide-moat Royal Bank of Canada. We continue to assess the shares as overvalued. We agree with the market that Royal Bank of Canada's franchise is one of the best in Canada. However, we caution investors not to overextrapolate the volatile results of the capital markets segment. We also note that the bank did not change its 17.0%-plus medium-term target despite earning above 17% in the past three consecutive quarters. Our current normalized ROE expectation for the bank is 16.7%.

Between the lines: New formations of gross impaired loans were elevated in the first quarter, up 20% sequentially, mostly driven by the bank's Canadian mortgage portfolio.

Toronto-Dominion Earnings: Wholesale Banking and Wealth Strong (Feb. 26)

Toronto-Dominion Bank reported strong fiscal first-quarter results. Adjusted EPS came in at CAD 2.44, up 21% from a year ago. The results translated into an adjusted return on equity of 14.2%, above the bank's current 2026 target of 13.0%.

Why it matters: Like its peers, TD saw strong performance in the wholesale banking and wealth business segments, with adjusted earnings growth of 65% and 11% year over year, respectively. The bank indicated that it could see potential upside to its 6%-8% EPS growth and 13% adjusted ROE target for 2026. The US segment saw adjusted loan growth of around 2%, excluding its optimization actions. The US segment's net income of USD 747 million indicates the bank is on track to achieve its USD 2.9 billion segment earnings target in 2026.

The bottom line: As we incorporate these results, we don't anticipate making material changes to our CAD 115/USD 84 fair value estimate for wide-moat TD Bank. We continue to view the shares as overvalued. While we like TD's investment in building its product capabilities in the wholesale banking business, this segment's earnings can be very volatile, and we caution investors not to overextrapolate

results. Our long-term fee income growth expectation is in the midsingle digits, similar to GDP growth, lower than the bank's ambitious high-single-digit target.

Key stats: TD Bank still has excess capital on its balance sheet, ending the January quarter with a common equity Tier 1 ratio of 14.5%, 300 basis points above its regulatory minimum. We expect the bank to continue utilizing share buybacks to return excess capital to shareholders. TD's diluted share count declined 3.8% year over year, and we estimate its remaining 2026 buyback capacity can reduce the share count by another 3.4%.

Healthcare

Bausch & Lomb Earnings: Nice Results From Growth Momentum (Feb. 18)

Bausch & Lomb delivered growth of 10% in revenue and 31% in adjusted EPS for the fourth quarter. The shares are trading sideways on results.

Why it matters: Bausch wrapped up the year on a strong note, driven by broad-based growth across the portfolio. Vision care and surgical, both up high single digits, continue to post strong numbers from the resilient contact lens market and enVista recall recovery, and pharmaceuticals, up midteens, is demonstrating impressive momentum. Contact lenses were up in both US and international markets. Despite certain pockets of consumer-facing healthcare firms showing weakness in the US in recent quarters, driven by depressed consumer sentiment, the contact lens market is resilient and Bausch has enjoyed stable demand. Miebo and Xiidra, key assets in the pharmaceutical segment, were up 33% and 9% sequentially thanks to improving prescription volume. While Xiidra ended 2025 with a full-year sales decline from unfavorable gross to net, which we expected, we are still impressed by patient demand. Miebo's trajectory appears undeterred, and we expect solid growth over the midterm.

The bottom line: We raise our fair value estimate to USD 18.50/CAD 25.50 per share from USD 17.50/CAD 24.50 after accounting for 2026's solid outlook and recent cash flows. Full-year guidance includes 6.5% and 18.5% revenue and adjusted EBITDA growth at the midpoint, respectively. We see both targets as achievable. EBITDA margin expansion of 200 basis points is impressive, and we see this as a result of multiyear investment in portfolio, pipeline, and execution. Beyond next year, we see a nice runway for Bausch's innovation over the midterm and believe this underpins the firm's narrow economic moat. The shares look fairly valued as investor sentiment, which hit a low point after the April 2025 tariff announcement and enVista recall, has recovered and the market is appreciating the progress Bausch has made in its innovative engine.

Green Thumb Earnings: State Legalizations Offset Price Compression (Feb. 26)

Green Thumb's fourth-quarter revenue grew 5.7% year over year to USD 311 million, benefiting from the September launch of adult-use sales in Minnesota. However, price compression remains a headwind, with comparable sales down 1.8%.

Why it matters: Price compression continues to plague the industry, weakening the revenue generation of the existing footprint. We think there's an eventual bottom, as prices can't fall in perpetuity before driving smaller producers to close and reducing competition. A stubborn illicit market, an unregulated hemp-derived market, and hemp-derived THC beverages continue to hurt the legal cannabis industry. Green Thumb has guided for mid-single-digit revenue declines sequentially for the first quarter due to price compression and seasonality. Lower prices also hurt the bottom line, with normalized EBITDA margin shrinking 100 basis points to 32.2%. Longer term, we expect margins to stabilize in the high 20s as prices stabilize.

The bottom line: We expect to lower our USD 9.50/CAD 13.50 fair value estimate for no-moat Green Thumb by a mid-single-digit percentage. The reduction should stem from a lower 10-year average annual revenue growth forecast of about 4% due to heavier price compression. The shares have fallen more than 20% since President Donald Trump signed an executive order directing the federal government to reschedule cannabis on Dec. 18. Optimism about easing prohibition has waned as investors appear concerned about price compression. The shares are likely to remain undervalued after our cut. It only takes mid-single-digit long-term top-line growth and roughly flat adjusted EBITDA margin to justify our valuation. We don't think price compression can continue indefinitely, and we believe Green Thumb should survive industry consolidation.

Curaleaf Earnings: International Growth Offsets Domestic Decline (Feb. 27)

Curaleaf's fourth-quarter revenue grew 2% year over year to USD 333 million. International revenue contributed USD 51 million (a 65% increase) to offset domestic's 5% decline (to USD 282 million). Price compression continued, with Curaleaf's markets again suffering double-digit percentage declines.

Why it matters: Price compression continues to plague the industry, though Curaleaf's product innovation has blunted the impact on its sales. We think there's an eventual bottom, as falling prices will force small producers to close and supply will drop. A stubborn illicit market, an unregulated hemp-derived market, and hemp-derived THC beverages continue to hurt the legal cannabis industry. Curaleaf has guided for a mid-single-digit revenue decline in the first quarter due to seasonality, and prices continue to fall. Lower prices hurt Curaleaf's bottom line as well, with adjusted EBITDA margin shrinking 250 basis points to 20.7%. Longer term, we expect margin to reach the low 30s as prices stabilize and the international business scales.

The bottom line: We don't expect major changes to our USD 3.15/CAD 4.40 fair value estimate for no-moat Curaleaf or our prerelease forecasts for 6% average annual revenue growth through 2034 and long-term adjusted EBITDA margin of 32%. The shares have fallen by more than 30% since President Donald Trump signed an executive order on Dec. 18, 2025, directing the federal government to reschedule cannabis. Optimism about easing prohibition has waned as investors appear concerned about price compression. The shares appear undervalued. We don't think US price compression can continue indefinitely, and Curaleaf should benefit from industry consolidation. Moreover, as the international business scales, we expect its margin to approach that of the domestic business, benefiting companywide margin.

Industrials

Thomson, RELX, and Wolters Crushed After Claude Legal Plug-In Debut (Feb. 4)

On Feb. 3, Thomson Reuters, RELX, and Wolters Kluwer shares fell 16%, 14%, and 13%, respectively, after Anthropic released a legal plug-in for its Claude artificial intelligence assistant.

Why it matters: This is the latest turn in the AI disruption narrative that's weighed on these stocks since summer 2025. Claude's legal plug-in is the first direct push into legal technology by a major large language model provider, broadening the disruption story previously driven by AI-native startups like Harvey. Claude's legal plug-in is targeting in-house legal teams to aid with tasks like contract reviews, legal briefings, and templated responses. This represents the new AI assistant market. The risk is lower growth as users are able to do more in-house rather than outsource to legal technology providers. Importantly, the plug-in has nothing to do with legal research, which is the core value proposition and wide-moat foundation of Thomson's and RELX's legal businesses.

The bottom line: We maintain our fair value estimates for all three wide-moat firms. At current levels, they all look significantly undervalued. We're surprised by the stock reactions. A drawdown of this magnitude implies the market was still pricing in meaningful AI-driven upside in legal, which doesn't make sense. These stocks have already derated sharply over the past year as this story turned from upside to overhang. Our fair value estimates assume generative AI is positive for legal growth at these companies. We don't see this as a clear enough threat to change our estimates yet. Thomson is most at risk, with 45% of EBIT from legal, while RELX and Wolters only generate 10%-13% of EBIT from legal.

Coming up: Thomson will report earnings on Feb. 5, which should help illuminate the potential risk of this new threat.

Thomson Earnings: Solid Results and Outlook Don't Quell AI Fears (Feb. 6)

Thomson Reuters' fourth-quarter results and 2026 guidance were broadly in line with FactSet consensus. Regardless, the shares fell 6% after the earnings release on Feb. 5.

Why it matters: Despite market angst around artificial intelligence disruption, Thomson continues to deliver incrementally improving growth and margins in line with guidance and sell-side consensus expectations. Organic growth in the big three segments should rise to 9.5% in 2026 from 9% in 2025, and EBITDA margin should see a 100-basis-point lift. Thomson guided to a further 100-basis-point EBITDA margin increase in 2027 and 2028. The main drivers of 2026 growth are recently launched generative AI products, scaling the recent acquisitions of SafeSend and Additive, and easier comparisons for Reuters and corporates. Government will be a drag, but this is accounted for in guidance.

The bottom line: We maintain our USD 170/CAD 233 fair value estimate for wide-moat Thomson. The shares have fallen more than 50% since their recent peak in July 2025 and now look significantly undervalued. Our estimates are broadly in line with guidance and consensus. The shares have been

marked down significantly due to investor fears around AI disruption. However, we continue to think that generative AI will be a growth enhancer for the company. We remain confident of Thomson's moat in its core franchises of legal research/know-how and tax calculation engines. We think the key question will be potential commoditization of the AI workflow outside of the core franchise use cases, which may not require the company's unique content and domain expertise.

Coming up: 2026 guidance is for organic revenue growth of 7.5%-8.0% (9.5% for the big three segments). EBITDA margin should rise at least 100 basis points (40.2% for the group and 44.6% for the big three segments), and free cash flow should be around USD 2.1 billion. For the first quarter, Thomson is guiding for organic revenue growth of 7% and EBITDA margin of 42%.

Waste Connections Earnings: Margins, Pricing Should Hold Up in 2026 (Feb. 12)

Waste Connections' fourth-quarter results were largely in line with our expectations, with adjusted earnings of USD 1.29 coming in 11.2% higher year over year. Strong core pricing, acquisition volume, and margins more than offset volume- and commodity-related headwinds.

Why it matters: Organic solid waste revenue growth during the quarter was 2.6%, with a solid 6.4% contribution from core pricing partially offset by a negative 2.7% contribution from volume decline and 0.6% headwind from recycling. Management guided for the larger dynamics to remain similar in the upcoming year, with margins and core pricing holding up well and volume remaining under pressure. Management expects USD 9.93 billion in revenue (4.9% year-on-year growth) in 2026 at the midpoint and USD 3.31 billion (6.0% year-on-year growth) in adjusted EBITDA. The implied 2026 pricing growth is in line with our expectations, and the implied margin of 33.3% came in slightly higher than our projections.

The bottom line: We maintain our USD 152/CAD 210 fair value estimate for wide-moat Waste Connections. The stock corrected around 8% on Feb. 12 after the firm announced results, as management's outlook fell short of the market's lofty expectations. Its premium valuation relative to peers can narrow if acquired growth slows and/or the margin expansion story disappoints. Pricing discipline and cost optimization continue to be bright spots as management expects another year of margin expansion. We have a more pragmatic view of midcycle margins than the market, as we consider risks from acquisitions, volume, industry cyclicality, and commodity prices.

Big picture: Core pricing growth has been extremely strong, averaging around 7.7% in the past four years, and has supported margin expansion. We think this sort of growth is unlikely to repeat in the next five years, and investors should moderate their long-term expectations for pricing.

Magna Earnings: Outstanding Quarter Shows Restructuring Paying Off (Feb. 13)

Magna's fourth-quarter adjusted diluted EPS rose 29% year over year to USD 2.18 and beat the USD 1.79 LSEG consensus. The stock rose over 20% during Feb. 13 trading on the results and the company issuing above-consensus 2026 EPS guidance of USD 6.25-USD 7.25 versus USD 5.99.

Why it matters: Magna's stock has been held back for a while, probably on fears of continued sluggish vehicle production volume and the company restructuring. 2026 guidance excluding the complete assembly segment calls for organic growth over market of 1%-4%. The company's confidence in a declining market is a good sign, in our view. Management will keep returning cash to shareholders via more buybacks in 2026, and it announced a 2% quarterly dividend increase to USD 0.495 per share, the 16th straight year it has increased. Guidance for adjusted EBIT margin of 40-100 basis points above 2025's 5.6% is from restructuring actions, higher equity income, lower warranty, and program launches. New Ford SUV programs launched in the quarter helped total revenue grow 2% versus a 1% industry production decline.

The bottom line: We are raising our fair value estimate for no-moat Magna to USD 70/CAD 95 per share from USD 63/CAD 88. The change is from time value of money and higher revenue and equity income over our five-year explicit forecast period in light of 2026 guidance. We see the fourth-quarter results and 2026 guidance as very good news for shareholders, as they show management is doing an excellent job controlling what it can control, which is costs and operational processes rather than vehicle production. 2026 results will follow a seasonal pattern similar to 2025, with nearly 60% of adjusted EBIT coming in the second half. First-quarter EBIT will be lower than the second quarter. Still, first-quarter margins are guided to increase relative to first-quarter 2025's 3.5%.

Bombardier Earnings: A Blowout Year and Increasing Margins (Feb. 13)

Accelerating jet deliveries drove Bombardier's fourth-quarter revenue 19% higher year over year to USD 3.7 billion, with operating profit growing 45% in the same period to USD 499 million, a 13.5% margin.

Why it matters: Bombardier delivered 157 planes in 2025, including a blockbuster 64 deliveries in the fourth quarter, amplifying an accelerating pattern similar to that of 2024. Better throughput from the supply chain in the past year has made Bombardier's manufacturing more profitable, and we see double-digit operating margins as the new normal. During the fourth quarter, Bombardier delivered 25 Challenger and 39 Global jets, compared with 28 Challenger and 29 Global jets a year ago.

The bottom line: We have updated our forecast to reflect slightly more of a mix shift to higher-revenue Global jets as well as progress on management's goal to service 60% of the aftermarket for Bombardier planes by 2030. We raised our fair value estimate for narrow-moat Bombardier to CAD 263 per share from CAD 218. The shares now trade at an 8% discount to our revised fair value estimate. Given our High Morningstar Uncertainty Rating for the stock, we would consider it an appealing value below CAD 158.

AI Fears Drag Down Engineering and Construction Stocks (Feb. 13)

Artificial intelligence jitters have roiled the market this week, leading to a selloff in firms seen as vulnerable to AI disruption. The AI fears spread to engineering and construction firms on Feb. 12 and included shares closing down 10% for AtkinsRéalis.

Why it matters: The market is pricing in significant disruption to engineering and construction firms' business models. We don't see the risk as existential, because E&C firms offer valuable expertise and

help ensure regulatory and safety compliance, especially in regulated end markets. In the near to medium term, we believe AI tools will enhance E&C firms' productivity and efficiency, which we expect to boost their margins. Nonetheless, in the long term, we think there is a risk that some engineering and design work could be automated, which could result in revenue headwinds unless E&C firms can convince customers to pay for outcomes rather than for billable hours.

The bottom line: For now, we maintain our CAD 98 fair value estimate for no-moat AtkinsRéalis, as well as our Medium Morningstar Uncertainty Rating, as we think there is a risk that some engineering and design work could be vulnerable to disruption from AI in the long run. We believe that the E&C space is not conducive to economic moat creation, and the risk of AI disruption poses yet another challenge.

Bulls say: E&C firms are poised to capitalize on growing demand for infrastructure needed to support the AI boom, including data centers and semiconductor fabs. AI tools will help drive significant margin expansion thanks to enhanced productivity.

Bears say: AI will disrupt E&C firms by automating some engineering and design tasks, which will create a revenue headwind by reducing project scopes and billable hours.

Air Canada Earnings: Picking Prudent Path Through Macro Uncertainty (Feb. 16)

Air Canada's fourth-quarter revenue increased 6.8% to CAD 5.8 billion, and its operating profit of CAD 324 million came in at 5.6% margin. The year included four days of lost revenue in August due to a flight attendants' strike, as well as softer demand for travel to and from the US.

Why it matters: The airline has yet to return capacity to its prepandemic peak, just shy of 113 million passenger miles; it flew 105 million seat miles in 2025. This continues Air Canada's more gradual, disciplined postpandemic expansion compared with some competitors, which is partly due to macroeconomic uncertainty and the recent strike. The company's gradual growth trajectory is partly involuntary, constrained by delayed aircraft deliveries, but it also reflects its disciplined approach in a competitive environment where oversupply in some markets has curtailed near-term growth plans. Air Canada has also seen its cost structure expand, with structural unit costs reaching a record CAD 15.07 cents per mile in 2025, up 4% from 2024, driven primarily by higher wage rates, which we anticipate will continue in 2026 and beyond.

The bottom line: We have updated our forecasts to reflect the continued rebuilding of Air Canada's capacity and persistent yields, resulting in a CAD 20.10 fair value estimate for the no-moat airline's shares, up from CAD 17.80.

RB Global Earnings: Strong End to the Year (Feb. 17)

For 2025, RB Global reported a 2% increase in gross transaction value to USD 16.2 billion and a 4% increase in service revenue to USD 3.5 billion, with a 50-basis-point improvement in the take rate. Adjusted EBITDA grew 7%, showing operating leverage.

Why it matters: For 2026, the company is guiding for 5%-8% GTV growth and 7% EBITDA growth at the midpoint, with automotive as well as commercial construction and transportation providing support. Automotive GTV grew 5%, and lots sold (volume) grew 7%, implying probably some mix-driven weakness. Management expressed confidence in execution with insurance company customers and strongly suggested it is taking back share from rival Copart. While CC&T GTV declined 2% in 2025, the fourth quarter saw 9% growth, and management expressed confidence in signs of recovery in this segment after several years of subdued performance. Used-equipment prices are stabilizing, and demand driven by megaprojects remains robust.

The bottom line: We are increasing our fair value estimate for narrow-moat RB Global to USD 101/CAD 137 per share from USD 95/CAD 132 to reflect the revised guidance. The shares are outperforming after hours, likely driven by optimistic commentary across both segments. RB Global is unique and has admirable market positions, but we think the current valuation contemplates growth rates that may prove difficult to maintain. CC&T will always face cyclicality, and while there are unique structural growth drivers for automotive, our fair value estimate reflects this.

Utilities

Fortis Earnings: Strong 2025 Positions Company Well for 2026 (Feb. 12)

Fortis reported full-year operating earnings of CAD 3.53 per share, up from CAD 3.28 in 2024 and in line with our expectations.

Why it matters: New customer rates at CH Energy, regulated investments, strong underlying electricity demand, and favorable foreign exchange supported earnings. Management maintained its 4%-6% annual dividend growth target through 2030, in line with our expectations. Fortis does not provide earnings guidance.

The bottom line: We are maintaining our CAD 68 fair value estimate. Our Narrow Morningstar Economic Moat Rating is unchanged. Fortis trades at a 13% premium to our fair value estimate, compared with a 7% premium for the utilities sector. Fortis' 22% trailing 12-month return, including dividends, has outperformed the Morningstar US Utilities Index's 19% return over the same period.

Long view: Fortis' CAD 28.8 billion five-year capital investment plan supports 7% annual rate base growth. There remains upside to the current capital investment plan, with strong retail growth at UNS Energy driven by data center demand, Tilbury liquefied natural gas storage and expansion at FortisBC, and additional customer connections at ITC. Post-2030 growth looks to remain robust, particularly at ITC. ITC has been awarded more than USD 7 billion of transmission projects in the central US as part of the electric grid operators' LRTP Tranche 2.1. This is mainly through rights of refusal in Michigan and Minnesota. We think it's likely that ITC will be awarded additional LRTP projects.

Coming up: Fortis' rate cases at UNS and Tucson Electric Power continue to progress. We expect allowed returns on equity in line with the staff's 9.75% return on equity recommendation and support for formulaic rates, the first time these have been allowed in Arizona. Orders are expected later this year. We continue to expect outcomes in Arizona to reflect the state's improved regulatory environment.

Hydro One Earnings: Transmission Projects Support Long-Term Growth (Feb. 13)

Hydro One reported full-year operating earnings per share of CAD 2.23, up from CAD 1.93 in 2024.

Why it matters: Hydro One's earnings were supported by higher customer rates, higher peak demand, lower operating expenses, and customer count growth. Operating and maintenance expenses were lower in 2025 primarily due to lower work program expenditures, which we expect to normalize. Hydro One reaffirmed its 6%-8% annual earnings growth range through 2027 and 2027 EPS guidance of CAD 2.15-CAD 2.37, which we view as conservative.

The bottom line: We are reaffirming our CAD 45 fair value estimate for Hydro One. We previously increased our fair value estimate by 13% to incorporate recent updates and extend our growth outlook. Our no-moat rating is unchanged.

Long view: We continue to expect capital investment opportunities above the regulator- approved CAD 11.8 billion through 2027. Hydro One invested CAD 3.4 billion in 2025. Management continues to generate capital and operating cost savings totaling CAD 254 million. Continuing to generate savings will be critical as the company prepares for the next joint rate application for rates effective 2028-32, which will be filed next year. Hydro One continues to identify and execute transmission investment projects, which support and extend growth beyond its core capital investment plan. Hydro One was recently awarded transmission lines for Greenstone, Bowmanville and the greater Toronto area, and Sudbury to Barrie.

Coming up: A panel reviewing local electric distribution utilities, which aims to ensure local utilities are appropriately funded to make necessary infrastructure investments, could lead to consolidation opportunities for Hydro One.

Emera Earnings: Strong Results in Florida Drive Full-Year Growth (Feb. 23)

Emera reported full-year 2025 operating earnings of CAD 3.49 per share, up from CAD 2.94 in 2024 and in line with our full-year projections.

Why it matters: Emera's electric utilities were the main driver in the 19% increase in earnings, which benefited from new rates. We expect that benefit to moderate. Favorable market conditions also drove positive results at the unregulated Emera Energy. Partially offsetting these positives were asset divestitures and share dilution. Management reaffirmed and extended its 5%-7% annual earnings growth rate through 2030, in line with our 6% estimate.

The bottom line: We are maintaining our CAD 58 fair value estimate and Narrow Morningstar Economic Moat Rating. Emera trades at 20 times 2026 earnings, which is a premium to its regulated North American peer group. While management has made significant improvements in strengthening its balance sheet and investing in high-growth Florida, we think Emera should trade more in line with slower-growth US peers. Dividend growth is expected to be 1%-2% over the next four years as the company continues to reduce its payout ratio. Its 83% payout ratio in 2025 is a significant improvement from 98% in 2024, providing us more confidence in dividend security.

Long view: Emera's five-year CAD 20 billion capital plan supports our earnings growth forecast. The capital plan will direct 80% of spending in Florida, which represents over 70% of earnings and continues to be the highest-growth area with best-in-class regulatory treatment. In Florida, Emera has recently received highly constructive regulatory outcomes at both its electric and gas businesses.

Coming up: The regulatory approval process for New Mexico Gas is progressing slowly. Regulatory hearings have concluded, and the company is awaiting the hearing examiner's recommendation. A sale is expected to close in the first half of the year.

Northland Power Earnings: Focus Is on Construction Activities (Feb. 26)

Northland Power reported fourth-quarter adjusted EBITDA of CAD 390 million, up 25% year on year, driven by record offshore wind generation in Germany, contributions from Oneida, and strong natural gas demand. The company issued 2026 EBITDA guidance of CAD 1.45 billion-CAD 1.65 billion.

Why it matters: 2026 EBITDA guidance was slightly above our estimate, with nearly all of the incremental EBITDA year on year expected to come from contributions from Northland's two offshore wind projects under construction, Hai Long and Baltic Power. This makes construction execution the focus of Northland's 2026. The 2026 free cash flow guidance of CAD 1.05-CAD 1.25 per share is lower year over year, but this is largely explained by roughly CAD 0.22 of one-time benefits that inflated 2025 (including a German tax refund and deferred Spanish debt payments).

The bottom line: We expect to update our model in the coming days, but at first glance, we do not expect to change our CAD 22 fair value estimate for no-moat Northland Power. We view the shares as broadly fairly valued after recovering in recent months following last quarter's surprise dividend reduction.

Between the lines: Previously discussed delays at Hai Long are still expected to result in a CAD 150 million-CAD 200 million shortfall in precompletion revenue relative to the initial financing plan. Management is exploring project-level funding alternatives to avoid a corporate equity injection, with an update expected by midyear.

Big picture: Management framed the current environment as a power supercycle driven by electrification, AI demand, and industrial growth. Northland plans to double gross capacity to 7 gigawatts by 2030, supported by a minimum 12% return threshold on new investments.

Canadian Coverage

Company	Star Rating	Fair Value Estimate	Current Price	Price/ Fair Value	Uncertainty Rating	Moat Rating	Market Cap (B)
AGF Management AGF.B	★★	CAD 16.50	CAD 20.52	1.24	High	None	1.32
Agnico Eagle Mines AEM	★	CAD 125.00	CAD 342.63	2.74	Medium	None	171.42
Air Canada AC	★★★	CAD 20.10	CAD 20.63	1.03	High	None	6.08
Arc Resources ARX	★★★	CAD 25.00	CAD 25.30	1.01	High	Narrow	14.44
AtkinsRealis ATRL	★★★	CAD 98.00	CAD 94.55	0.96	Medium	None	15.67
Barrick Mining ABX	★	CAD 42.00	CAD 69.21	1.65	Medium	None	115.95
Bausch + Lomb BLCO	★★★	CAD 25.50	CAD 24.83	0.97	High	Narrow	8.80
BCE BCE	★★★★★	CAD 45.00	CAD 35.85	0.80	Low	Narrow	33.43
Blackberry BB	★★★	CAD 5.50	CAD 4.63	0.84	Very High	None	2.73
BMO Financial Group BMO	★★	CAD 171.00	CAD 196.31	1.15	Medium	Narrow	138.63
Bombardier BBD.B	★★★	CAD 263.00	CAD 281.89	1.07	High	Narrow	27.86
Boralex BLX	★★★★	CAD 35.00	CAD 27.76	0.79	Medium	None	2.85
Brookfield Asset Management BAM	★★★★	CAD 78.00	CAD 63.69	0.82	High	Narrow	102.70
Brookfield Renewable Corp BEPC	★★	CAD 46.00	CAD 58.21	1.27	Medium	None	10.45
Brookfield Renewable Partners BEP.UN	★★★	CAD 40.00	CAD 43.37	1.08	Medium	None	13.27
Bombardier Recreational Products DOO	★★★	CAD 98.00	CAD 100.01	1.02	High	Wide	7.34
Canadian Imperial Bank of Commerce CM	★★	CAD 117.00	CAD 137.79	1.18	Medium	Narrow	127.68
Canadian National Railway CNR	★★★	CAD 146.00	CAD 153.07	1.05	Medium	Wide	93.59
Canadian Natural Resources CNQ	★★	CAD 43.00	CAD 59.67	1.39	High	Narrow	124.30
Canadian Pacific Railway CP	★★	CAD 101.00	CAD 119.44	1.18	Medium	Wide	107.22
Canadian Tire Corporation CTC.A	★★★	CAD 172.00	CAD 191.33	1.11	Medium	None	10.23
Canfor CFP	★★★★	CAD 17.00	CAD 13.75	0.81	High	None	1.60
CGI Group GIB.A	★★★★	CAD 143.00	CAD 99.76	0.70	Medium	Narrow	21.42
Cogeco Communications CCA	★★★★	CAD 80.00	CAD 72.36	0.90	Medium	None	3.04
Constellation Software CSU	★★★★★	CAD 3,800.00	CAD 2,520.66	0.66	Medium	Narrow	53.42
Curaleaf (Biotechnology) CURA	★★★★	CAD 4.40	CAD 3.19	0.73	Very High	None	2.46
Descartes Systems Group DSG	★★★★★	CAD 134.00	CAD 90.22	0.67	Medium	Wide	7.76
Dollarama DOL	★	CAD 125.00	CAD 200.82	1.61	Medium	Narrow	54.94
Emera EMA	★★	CAD 58.00	CAD 70.97	1.22	Low	Narrow	21.42
Enbridge ENB	★★★	CAD 66.00	CAD 72.47	1.10	Medium	Narrow	158.12
Fairfax Financial Holdings FFH	★★	CAD 1,730.00	CAD 2,347.75	1.36	Medium	None	48.96
Fortis (Electric Utility) FTS	★★	CAD 68.00	CAD 78.47	1.15	Low	Narrow	39.82
George Weston WN	★	CAD 70.00	CAD 100.12	1.43	Low	None	38.28
Gildan Activewear GIL	★★★★	CAD 128.00	CAD 92.97	0.73	Medium	Narrow	17.22

Source: Morningstar. Data as of Feb. 27, 2026.

Canadian Coverage (Continued)

Company	Star Rating	Fair Value Estimate	Current Price	Price/ Fair Value	Uncertainty Rating	Moat Rating	Market Cap (B)
Great-West Lifeco GWO	★	CAD 47.00	CAD 65.90	1.40	Medium	None	59.73
Green Thumb Industries GTII	★★★★	CAD 13.50	CAD 8.90	0.66	Very High	None	2.06
Hydro One Networks H	★	CAD 45.00	CAD 58.62	1.30	Low	None	35.16
IGM Financial IGM	★★★	CAD 66.00	CAD 67.86	1.03	High	None	15.90
Kinross Gold K	★	CAD 13.00	CAD 50.42	3.88	High	None	60.50
Loblaw Companies L	★	CAD 39.00	CAD 63.22	1.62	Low	None	74.09
Magna International MG	★★★	CAD 95.00	CAD 86.01	0.91	High	None	23.98
Manulife MFC	★★	CAD 41.10	CAD 48.57	1.18	Medium	None	81.44
Metro Richelieu MRU	★★	CAD 80.00	CAD 97.19	1.21	Low	None	20.72
National Bank of Canada NA	★★	CAD 153.00	CAD 190.37	1.24	Medium	Narrow	73.72
Northland Power NPI	★★★	CAD 22.00	CAD 21.86	0.99	Medium	None	5.72
Nutrien NTR	★★★	CAD 103.00	CAD 102.59	1.00	High	Narrow	49.36
Pembina Pipeline PPL	★★★	CAD 56.00	CAD 59.95	1.08	Medium	None	34.84
Perseus Mining PRU	★	CAD 2.90	CAD 5.95	2.05	High	None	7.87
Power Corporation of Canada POW	★★	CAD 55.00	CAD 68.52	1.25	Medium	None	43.31
Quebecor QBR.B	★★	CAD 50.00	CAD 56.41	1.15	Medium	None	12.91
Ritchie Bros. Auctioneers RBA	★★★	CAD 137.00	CAD 137.41	1.00	Medium	Narrow	25.54
Restaurant Brands International QSR	★★★★	CAD 110.00	CAD 97.86	0.89	Medium	Narrow	33.91
Rogers Communications RCI.B	★★★★★	CAD 70.00	CAD 54.44	0.78	Low	Narrow	29.50
Royal Bank of Canada RY	★★	CAD 196.00	CAD 228.07	1.16	Medium	Wide	319.35
Saputo SAP	★	CAD 27.00	CAD 43.54	1.61	Medium	None	17.64
Scotiabank BNS	★★	CAD 92.00	CAD 103.48	1.12	Medium	Narrow	127.54
Shopify SHOP	★★★★	CAD 217.00	CAD 164.67	0.76	Very High	Wide	215.34
Spin Master TOY	★★★★★	CAD 36.00	CAD 19.25	0.53	Medium	None	1.94
Sun Life Financial SLF	★★	CAD 75.00	CAD 89.40	1.19	Medium	None	49.52
TC Energy TRP	★★	CAD 68.00	CAD 87.65	1.29	Medium	Narrow	91.23
TD Bank Group TD	★★	CAD 115.00	CAD 132.88	1.16	Medium	Wide	222.07
Teck Resources TECK.B	★	CAD 49.00	CAD 80.11	1.63	High	None	39.18
Telus T	★★★★★	CAD 30.00	CAD 18.70	0.62	Low	Narrow	29.19
Thomson Reuters TRI	★★★★★	CAD 233.00	CAD 131.33	0.56	Low	Wide	58.44
Tilray TLRY	★★★★	CAD 19.50	CAD 10.73	0.55	Very High	None	1.25
Tourmaline Oil TOU	★★	CAD 52.00	CAD 64.04	1.23	High	None	24.78
Waste Connections WCN	★★★	CAD 210.00	CAD 234.73	1.12	Medium	Wide	60.18
West Fraser WFG	★★★★	CAD 113.00	CAD 90.56	0.80	High	None	7.09

Source: Morningstar. Data as of Feb. 27, 2026.

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. We think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (mines, for example), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's Equity Research Group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate in Morningstar terminology. Five-star stocks sell for the biggest risk-adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating:

- our assessment of the firm's economic moat.
- our estimate of the stock's fair value.
- our uncertainty around that fair value estimate.
- the current market price.

This process ultimately culminates in our single-point star rating.

Economic Moat

The Morningstar Economic Moat Rating is a structural feature that Morningstar believes positions a firm to earn durable excess profits over a long period of time, with excess profits defined as returns on invested capital above our estimate of a firm's cost of capital. The economic moat rating is not an indicator of the investment performance of the investment highlighted in this report. Narrow-moat companies are those that Morningstar believes are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those that Morningstar believes will earn excess returns for 10 years, with excess returns more likely than not to remain for at least 20 years. Firms without a moat, including those that have a substantial threat of value destruction-related risks related to environmental, social, and governance; industry disruption; financial health; or other idiosyncratic issues, are more susceptible to competition. Morningstar has identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Fair Value Estimate

Each stock's fair value is estimated by using a proprietary discounted cash flow model, which assumes that the stock's value is equal to the total of the free cash flows of the company is expected to generate in the future, discounted back to the present at the rate commensurate with the riskiness of the cash flows. As with any DCF model, the ending value is highly sensitive to Morningstar's projections of future growth.

Fair Value Uncertainty

The Morningstar Uncertainty Rating represents the analysts' ability to bound the estimated value of the shares in a company around the fair value estimate, based on the characteristics of the business underlying the stock, including operating and financial leverage, sales sensitivity to the overall economy, product concentration, pricing power, exposure to material ESG risks, and other company-specific factors. Based on these factors, analysts classify the stock into one of several uncertainty levels: Low, Medium, High, Very High, or Extreme. Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases.

Market Price

The market prices used in this analysis and noted in the report come from exchanges on which the stock is listed, which we believe is a reliable source.

Morningstar Rating for Stocks
The Morningstar Rating for Stocks is a forward-looking, analyst-driven measure of a stock's current price relative to the analyst's estimate of what the shares are worth. Stock star ratings indicate whether a stock, in the equity analyst's educated opinion, is cheap, expensive, or fairly priced. To rate a stock, analysts estimate what they think it is worth (its "fair value"), using a detailed, long-term cash flow forecast for the company. A stock's star rating depends on whether its current market price is above or below the fair value estimate. Those stocks trading at large discounts to their fair values receive the highest ratings (4 or 5 stars). Stocks trading at large premiums to their fair values receive lower ratings (1 or 2 stars). A 3-star rating means the current stock price is close to the analyst's fair value estimate.

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Please note that investments in securities are subject to market and other risks, and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not continue in the future and is no indication of future performance. A security investment's return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost.

A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating is a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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